



June 2026

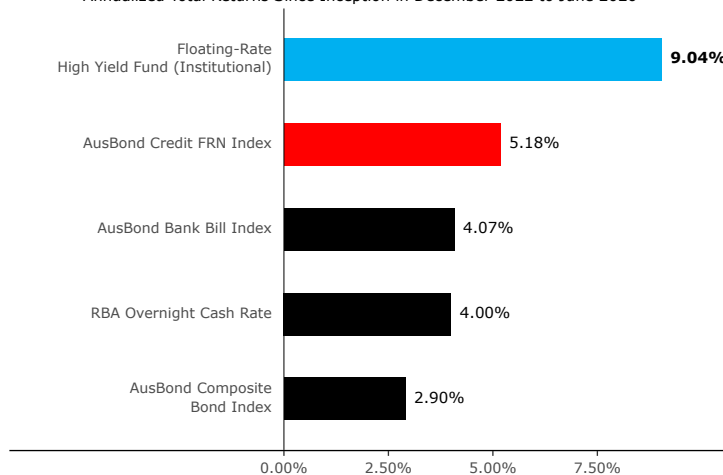
Objective: The Coolabah Floating-Rate High Yield Fund (Managed Fund) (FRHY) aims to provide investors with higher income than other traditional fixed income investments by investing in a portfolio of investment-grade Australian Floating-Rate Notes (FRNs) with enhanced yields.

Strategy: The Fund predominantly invests in a portfolio of cash securities and investment grade floating-rate, Australian bank-issued senior and tier 2 bonds. It also has the capacity to invest in government bonds and corporate bonds. In contrast to fixed-rate bonds, FRNs pay a variable-rate of interest that resets monthly or quarterly and moves up and down with changes in a recognised reference interest rate. In Australia, FRNs generally track the returns of the Reserve Bank of Australia's (RBA's) cash rate via a benchmark proxy called the quarterly Bank Bill Swap Rate (BBSW) plus an additional credit spread, or interest rate margin above BBSW. Unlike a fixed-rate bond, an FRN has very low interest rate risk given the interest paid by an FRN will be highly correlated with moves in the RBA cash rate. The Fund will borrow or use leverage to provide additional exposure to these assets. Leverage can amplify gains and also amplify losses. It cannot invest in hybrid securities, equities or property.

Period Ending 2026-06-30	Gross Return	Net Return	Bloomberg AusBond Credit FRN 0+ Yr Index	Gross Excess Return [‡]
1 month	0.78%	0.71%	0.46%	0.32%
3 months	2.36%	2.16%	1.40%	0.96%
6 months	3.43%	3.02%	2.44%	0.99%
1 year	7.61%	6.75%	4.88%	2.73%
3 years pa	9.31%	8.44%	5.27%	4.04%
Inception pa Dec. 2022	9.91%	9.04%	5.18%	4.74%

Floating-Rate High Yield Fund Returns (Net) vs Comparisons

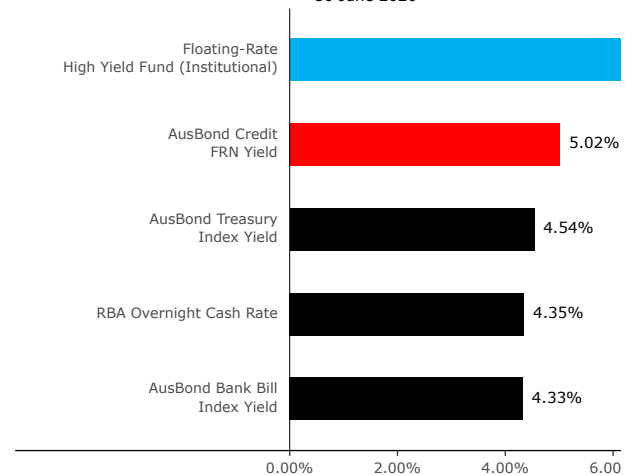
Annualized Total Returns Since Inception in December 2022 to June 2026



Data Source: RBA, Bloomberg, Apex Fund Services, Coolabah Capital Investments

Annual Running Yield*

30 June 2026



Data Source: RBA, Bloomberg, Coolabah Capital Investments

[‡] The Excess Return column represents the gross and net return above the Bloomberg AusBond FRN 0+ Yr Index

* The yield displayed for the Fund is the annual running yield before fees. A fund's running yield is a forward-looking measure of the income expected to be generated by the portfolio based on the coupons payable by the fund as at that date, before management fees, performance fees and fund expenses. The yield can change daily depending on factors, such as the fund's investment activity and market movements, and the day you invest. All investments carry risks, including that the value of investments may vary, future returns may differ from past returns, and that your capital is not guaranteed. The Fund has a different risk profile compared to other investments, including, amongst other things, that it uses leverage, which means that both gains and losses may be amplified. To understand the Fund's risks better, please refer to the Product Disclosure Statement.

Disclaimer: Past performance does not assure future returns. Returns and yields are shown net of management fees and costs unless otherwise stated. All investments carry risks, including that the value of investments may vary, future returns may differ from past returns, and that your capital is not guaranteed. To understand Fund's risks better, please refer to the Product Disclosure Statement available at Coolabah Capital Investments' [website](#)

Note: all portfolio statistics other than yields and duration are reported on gross asset value

Av. Portfolio Credit Rating	A+	Av. Interest Rate (Gross Running Yield)	7.01%
Portfolio MSCI ESG Rating	AA	Modified Interest Rate Duration	0.38 years
No. Cash Accounts	20	Gearing Permitted?	Yes
No. Notes and Bonds	123	Net Annual Volatility (since incep.)	1.38%
Ratings: Superior - Complex (Foresight Analytics)			

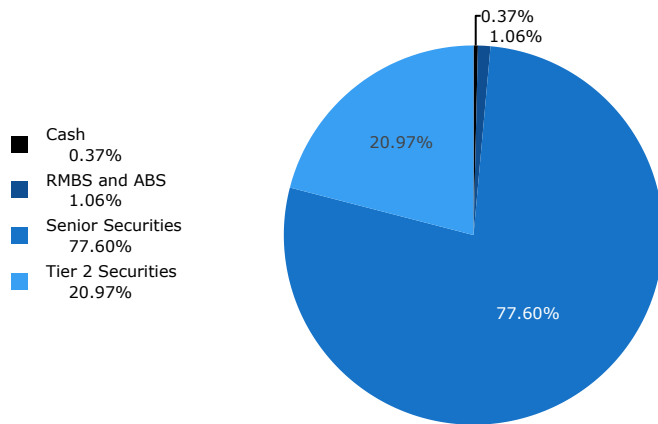


COOLABAH CAPITAL INVESTMENTS
 THE INTELLECTUAL EDGE: MAKING EVERY BASIS POINT COUNT

Fund: **Coolabah Floating-Rate High Yield Fund - Institutional**
 Return/Risk: **9.91% pa gross/9.04% pa net (1.38% p**

Floating-Rate High Yield Fund Portfolio Composition (GAV)

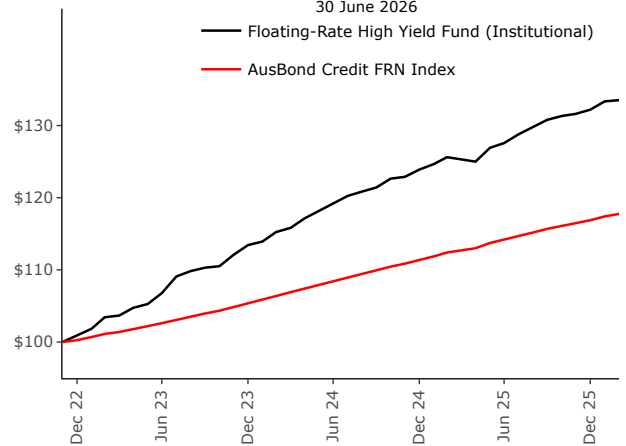
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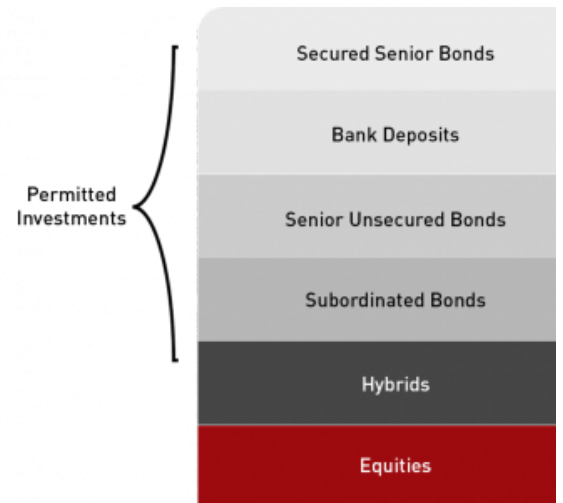
Data Source: Coolabah Capital Investments

Value of \$100 Invested Since Inception

30 June 2026



Data Source: Bloomberg, Coolabah Capital Investments



Portfolio Managers Christopher Joye, Ashley Kabel, Roger Douglas, Fionn O'Leary ([Coolabah Capital Investments](#))

APIR Code	ETL6855AU	Fund Inception	05-Dec-2022
ISIN	AU60ETL68557	Distributions	Quarterly
Morningstar Ticker	45878	Unit Pricing	Daily (earnings accrue daily)
Asset-Class	High yield/Floating rate note	Min. Investment	AUD\$1,000
Target Objective	Yield focused	Withdrawals	Daily requests (funds normally in 3 days)
Investment Manager	Coolabah Capital Investments (Retail)	Buy/Sell Spread	0.00%/0.05%

Responsible Entity	Equity Trustees	Mgt. & Admin Fee	0.80% pa
Custodian	Citigroup	Perf. Fee	Not Applicable



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Portfolio commentary: In June, the zero-duration daily liquidity Coolabah Floating-Rate High Yield Fund returned 0.78% gross (0.71% net), outperforming the RBA Overnight Cash Rate (0.37%), the AusBond Bank Bill Index (0.39%), and the AusBond Credit FRN Index (0.46%). Over the previous 12 months, FRHY returned 6.75% gross (6.75% net), outperforming the RBA Overnight Cash Rate (3.84%), the AusBond Bank Bill Index (4.07%), and the AusBond Credit FRN Index (4.88%). FRHY ended June with a running yield of 7.01% pa, a weighted average credit rating of A+, and a portfolio weighted average MSCI ESG rating of AA.

Since the inception of FRHY 3.6 years ago in December 2022, it has returned 9.91% pa gross (9.04% pa net), outperforming the RBA Overnight Cash Rate (4.00% pa), the AusBond Bank Bill Index (4.07% pa), and the AusBond Credit FRN Index (5.18% pa). Since inception, FRHY's Sharpe Ratio, which measures risk-adjusted return, has been 4.27x gross (3.65x net). While FRHY's return volatility since inception has been low at around 1% (measured using daily returns), as a daily liquidity product with assets that are marked-to-market using executable prices, volatility does exist. This contrasts with illiquid credit (eg, loans and high yield bonds) wherein assets that have high risk can appear to have remarkably low volatility, which is, in fact, just a mirage explained by the inability to properly price these assets using executable prices.

Strategy commentary: Coolabah's performance was robust in June, with gains recorded across both our long-duration and floating-rate strategies. A stand-out was the long-duration Active Composite Bond Fund (ETF: FIXI) which returned 1.14% net versus the AusBond Composite Bond Index, which climbed 0.96%. At the short-duration end of the spectrum, the Global Floating Rate High Yield Fund (ETF: YLDX) rose 0.71% to 0.73% net, depending on the valuation class.

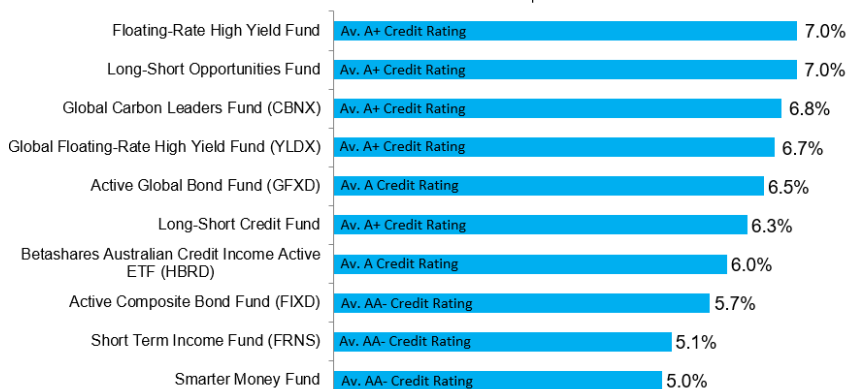
Gross running yields remain healthy in the 7% zone for the likes of the Floating-Rate High Yield Fund and the Long Short Opportunities Fund as central bank cash rates have risen.

Twelve-month net returns have also been pleasing, led by the Long Short Opportunities Fund (7.10% net), the Floating Rate High Yield Fund (6.89% to 7.08% net), the YLDX ETF (6.95% net), and the Floating-Rate High Yield Fund (6.53% to 6.75% net).

Annual Running Yields

as of 30 June 2026

Source: Coolabah Capital Investments



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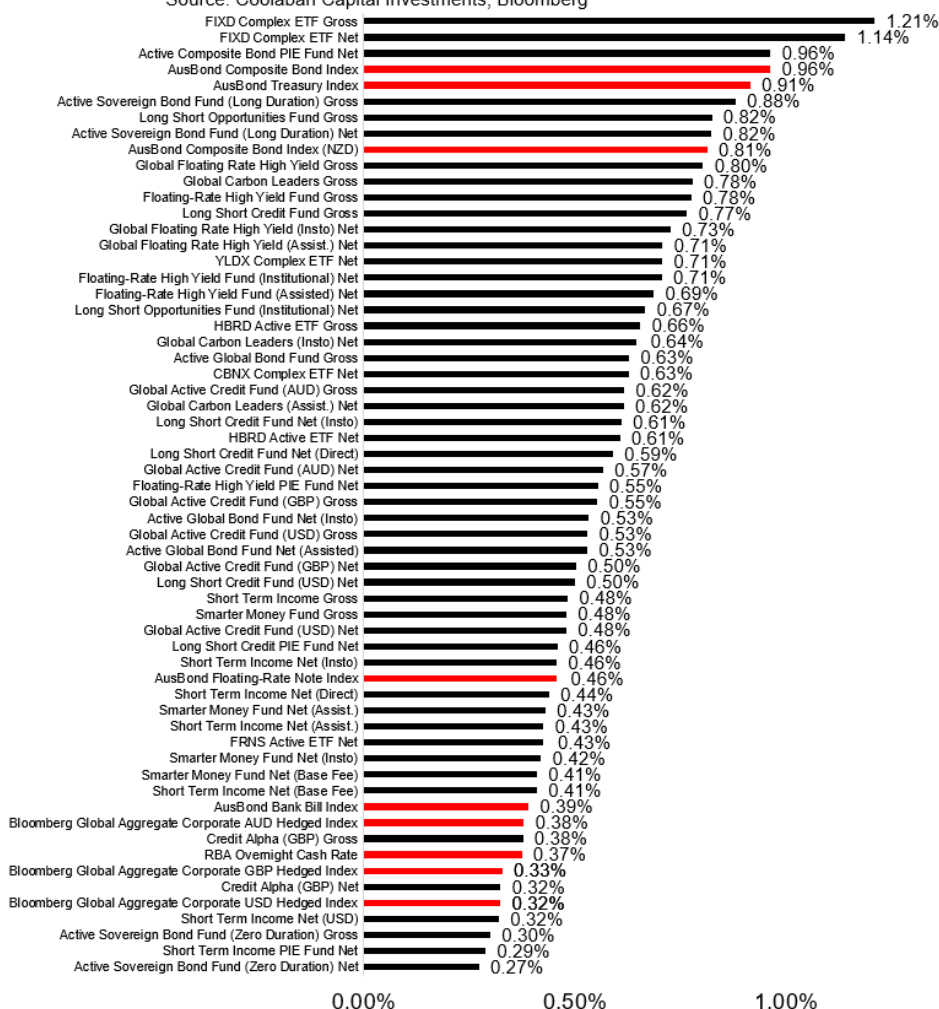
Asset weighted average rating

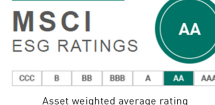
Strategy commentary cont'd:

Monthly Returns: Gross and Net

June 2026

Source: Coolabah Capital Investments, Bloomberg

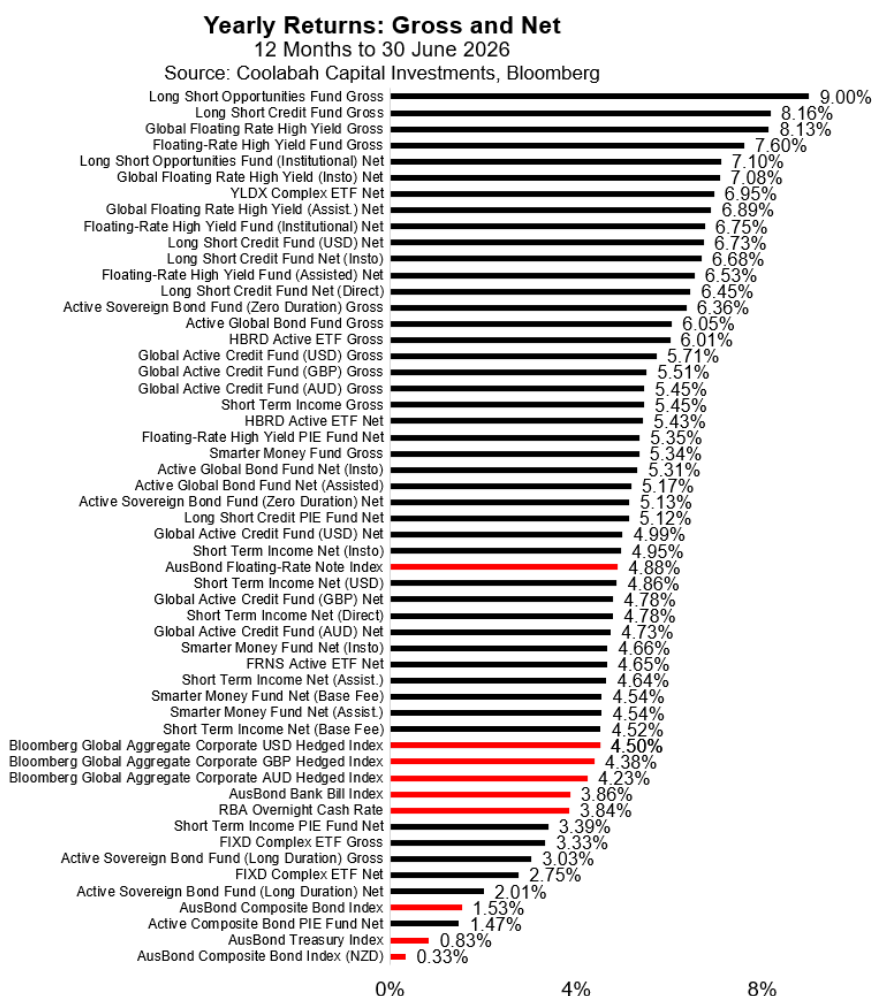




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Strategy commentary cont'd:



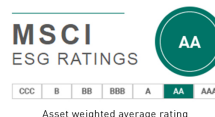
The US-Iran conflict continued to de-escalate in June in line with our long-held central case that the guts of it had been concluded by the end of March. While there were brief moments where tensions threatened to re-inte dominant market narrative shifted towards resolution after President Trump posted mid-month that the deal with "now complete". He subsequently authorised an end to the naval blockade, allowing traffic through the Strait of H recover. Brent crude fell 20.8% over the month to US\$72.92/bbl, leaving it just 0.6% above pre-conflict levels, prices remained around 20% higher year-to-date. WTI crude similarly declined 20.4% to US\$69.50/bbl.

Despite elevated energy prices for much of the year, the US economy remained buoyant, with employment continuing to grow. Combined with the appointment of Kevin Warsh as a more hawkish Fed Chair, this prompted a sharp repricing of monetary policy expectations. Markets moved from pricing 14bps of Fed rate hikes at the start of the month to 10bps at month-end, driving a bear-flattening of the US rates curve as investors priced a more restrictive policy path. The Fed backdrop weighed heavily on precious metals, with gold falling 11.7% to US\$4,008/oz and silver declining over the month.

Coolabah's theses around re-dollarisation and a globally synchronized hiking cycle have started to grip.

Other major central banks also leaned tighter, with both the ECB and the Bank of Japan raising cash rates by 10bps. Unlike in the US, however, market pricing for year-end policy rates was little changed, and this divergence was evident in sovereign bond performance.

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Strategy commentary cont'd: US Treasuries underperformed most global peers, with the 10-year Treasury yielding 3bps to 4.47%, while benchmark 10-year yields declined across much of Europe: German Bund yields fell 8bps to 3.63%, UK Gilt yields declined 6bps to 4.76%, and Italian BTP yields fell 2bps to 3.63%. JGB 10-year yields ended the month 1bp higher at 2.67%, while French OAT yields rose 2bps to 3.65%. Sovereign spreads drifted wider, with the CDS spread widening 10.1bps to 79.2bps and the BTP/Bund spread moving 5.6bps wider to 77.0bps.

The same regional divergence was evident in risk assets. The S&P 500 returned -0.95% in June and the Nasdaq returned -0.12%, while bitcoin fell 20.3% to US\$58,642, pressured by the more hawkish US rates backdrop and dollarisation dynamic.

By contrast, European and Japanese equities performed strongly, with the Euro Stoxx 50 returning 4.7%, European Banks appreciating 7.6%, the FTSE 100 gaining 1.0%, and the Nikkei 225 returning 5.7%.

Credit markets were more stable. In synthetic indices, US CDX IG was little changed at 51bps and CDX HY 5.7bps to 306bps, while in Europe iTraxx Main tightened 1.1bps to 52bps, iTraxx Xover rallied 14.3bps to 245bps and the senior financials index tightened 0.9bps to 54bps.

Cash credit spreads were similarly steady, with US investment-grade corporate spreads widening only 2bps to 109bps, euro aggregate corporate spreads widening 1bp to 79bps, and sterling aggregate corporate spreads 1bp wider to 80bps. Global corporate bond benchmarks nonetheless produced positive returns, with the Global Aggregate Corporate Index hedged to US dollars, rising 0.32% in June, while the duration-hedged equivalent gained 0.05%. Coolabah Global Bond Fund outperformed, which is benchmarked against the Global Aggregate Corporate Index, returning 0.12% net.

In currency markets, the euro declined 2.0% against the US dollar to 1.142, while the US dollar rose 2.1% against the yen to 162.55, consistent with the more hawkish repricing of the Fed.

June typically marks the beginning of the summer lull in issuance, but primary supply was materially stronger than expected in both the US and Europe, with both markets recording their busiest June on record. In the US, investment grade supply totalled US\$206bn, taking year-to-date issuance to US\$1.24tn, around 32% ahead of last year's pace.

Financials accounted for 38% of the month's supply, with deals from more than 16 issuers, including Macquarie New Zealand and four Japanese banks, alongside a number of European names. The most notable tranche, however, came from the hyperscalers, with NVIDIA and SpaceX each printing US\$25bn of bonds and attracting US\$72bn of demand respectively. While both deals initially rallied on the break, they subsequently underperformed broader credit to end the month between 5bps and 30bps wider.

In Europe, investment-grade supply totalled €90bn, of which €42bn came from Financials. Despite supply exceeding expectations, Financial deals averaged a healthy 2.6 times subscription rate, suggesting investor demand remained robust. Issuers appeared mindful of investor reluctance to add significant duration, with issuance more concentrated at the front end of the curve than usual.

Morgan Stanley was one of the first issuers to tap the market, printing €1.5bn of 4NC3 HoldCo bonds with an 8bps of new-issue concession, and the bonds rallied 2bps on the break. DNB, RBC, BMO and NatWest also issued end paper during the month. As in the US, the standout transaction came from the corporate space, with Telegraph and Telephone (NTT) bringing a multi-tranche offering across both euros and sterling, having accessed markets earlier in the year. The deal priced with a sizeable new-issue concession and all tranches rallied between 5bps and 6bps on the break, with stronger performance in the longer-dated tranches.

Australian credit markets also saw healthy primary activity. Australia recorded approximately A\$15.9bn of investment-grade primary supply in June, around 15% above the circa A\$13.8bn issued in June 2025, taking year-to-date A\$104.4bn compared with roughly A\$82.7bn at the same point last year.



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Strategy commentary cont'd: There was no major bank issuance, with June a seasonally quieter month heading towards the end of the financial year. Macquarie nonetheless issued out of its PUMA RMBS programme, attracting A\$2.3bn. Suncorp Bank issued A\$1.75bn of 5-year fixed and floating-rate bonds.

The month was otherwise characterised by Kangaroo bond supply from a range of offshore issuers. Singaporean issuers DBS and OCBC issued a combined A\$2.0bn of senior unsecured bonds, both via 3-year FRN deals. Among European financials, Societe Generale issued A\$650m of 6NC5 fixed and floating senior non-preferred bonds, Lloyds Bank issued A\$800m of 6NC5 senior notes, and Commerzbank issued A\$1.0bn of 5-year FRN and fixed bonds through an institutional placement transaction. RBC issued A\$750m of 6NC5 fixed and floating senior paper, and Rabobank issued A\$750m of 5-year FRNs. In semi-governments, NSWTC, TCV and NTC issued A\$4.85bn of syndicated supply.

Australian fixed income and credit markets rallied over the month. The 10-year Australian government bond yield fell 11bps to 4.72%, while 5-year major bank senior spreads tightened 3.5bps to 63.1bps and major bank subordinated spreads tightened 4.4bps to 119.8bps. The AUD iTraxx Index tightened 4.1bps to 68.1bps.

Domestic bond benchmarks were positive, with the AusBond Credit FRN Index rising 0.46% and the AusBond CDS Index climbing 0.96%. The Australian dollar declined 3.7% against the US dollar to 0.6919, while the ASX200 price index rose 0.5% and the ASX200 total return index gained 0.7%.

New Zealand markets also firmed. The 10-year New Zealand government bond yield fell 17bps to 4.18%, while the New Zealand dollar declined 5.2% against the US dollar to 0.5678. Equities performed well, with the NZX50 price index gaining 2.5% and the NZX50 total return index rising 2.9% over the month.

Please note that past performance is not a reliable indicator of future performance. Investors should read the Product Disclosure Statement and Target Market Determination before making any investment decision and obtaining advice from an independent financial adviser to determine whether an investment is appropriate for their investment objectives, financial situation and needs.

AI is driving the biggest capex boom in US history

The scale of the unfolding AI investment boom is unprecedented, eclipsing past US investment booms by a large margin. AI investment is currently about 4.5 times higher than its recent trough, based on BIS estimates.

The only other boom that came close was the creation of the canals in the early 1800s, when investment peaked 4 times its corresponding trough.

The railway boom of the late 1800s saw investment peak at about 2.5 times its trough, while the booms of the 1920s and dotcom bubble of the 1990s saw capex peak at about double their respective troughs.

History does not necessarily repeat, but past booms suggest that the expansion of AI probably has another 2 years before it tops out.

Moreover, the peak in AI investment will mechanically be higher because investment in tech is exaggerated by depreciation of software and computers.

Software – which is driving the current expansion – depreciates in value by almost half after a year, with depreciation of computers running at about one-third, and research and development depreciating at an annual rate of 10% according to Fed calculations.

CCI's analysis has already shown that the tech sector is driving the US economy at the moment, accounting for three-quarters of recent economic growth.

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COOLABAH CAPITAL INVESTMENTS
THE INTELLECTUAL EDGE: MAKING EVERY BASIS POINT COUNT

Fund: **Coolabah Floating-Rate High Yield Fund - Institutional**
Return/Risk: **9.91% pa gross/9.04% pa net (1.38% p.a. net)**

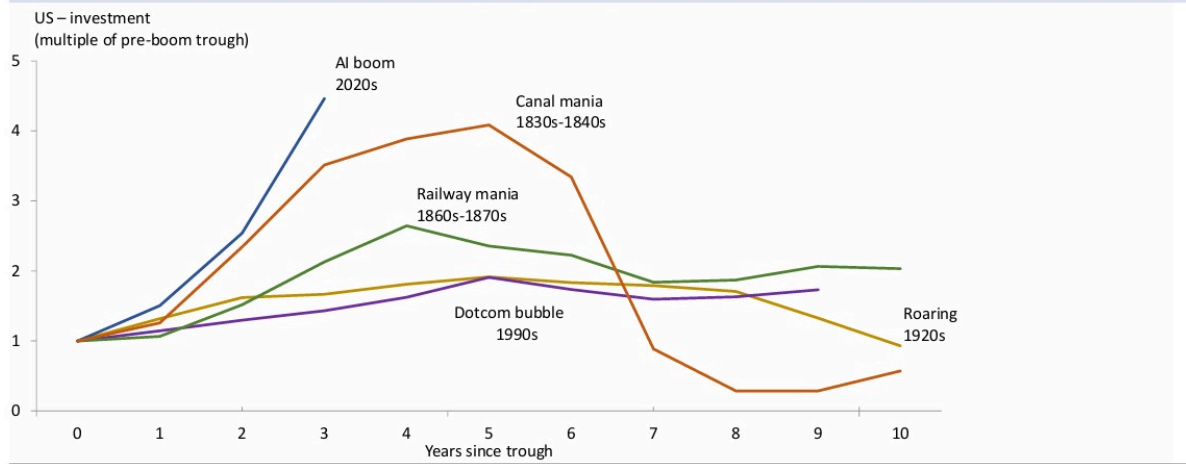
Strategy commentary cont'd: The tech boom will boost productivity for some time, but the question for many is whether companies can recoup an adequate return on this massive investment and if equity investors have enough shares.

On the latter, long-term valuation measures – such as the cyclically-adjusted PE ratio – have shown US equities extremely expensive over recent years, only beaten by the dotcom peak of 1999-2000.

Equities are also offering the smallest premium over bonds in recent history, except, again, for the dotcom episode.

While these valuation measures are not designed to provide a signal on timing the market, they underscore the risk of a correction in stocks, particularly now that the Fed seems likely to raise interest rates and with real bond yields at their highest point since before the global financial crisis.

Figure 1: The AI investment boom has already surpassed past US investment booms



Source: Bank for International Settlements, Coolabah Capital Investments

Figure 2: US equities have been extremely expensive in recent years, currently offering the smallest risk premium over bonds outside the dotcom bubble



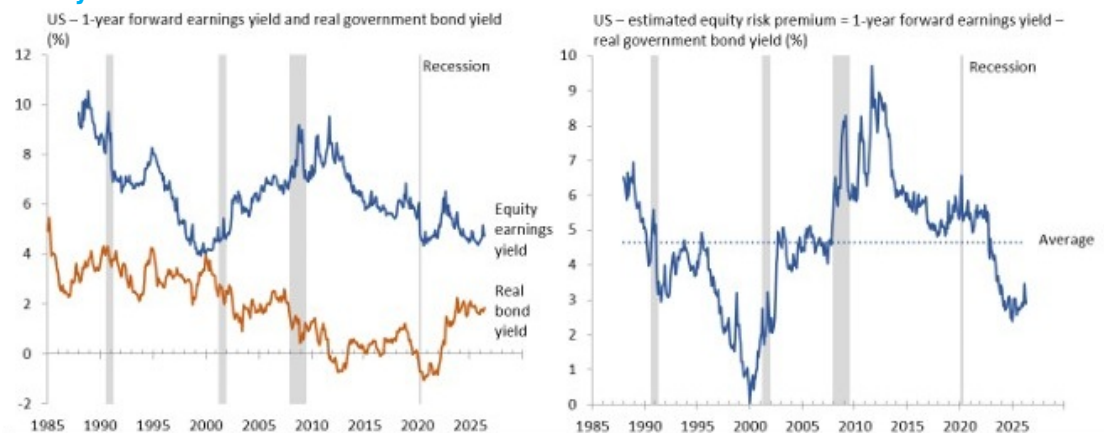
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 **MSCI ESG RATINGS AA**

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Strategy commentary cont'd:



Note: * Forward earnings are Bloomberg data spliced with limited Refinitiv data. The real government bond yield is the median of a range of estimates.

Source: Source: Bloomberg, Board of Governors of the Federal Reserve System, FRBs of Cleveland, New York and St Louis, Refinitiv, Shiller, Coolabah Capital Investments

US inflation is still too high even as upside risks abate

US core inflation was in line with market forecasts in May, tracking a fraction above the Fed's forecast for annualised core PCE inflation of 3.75% in trend terms still well above the bank's 2% target.

The best news for inflation globally is that the upside risks from the energy shock have abated, while in the US, the impact on goods prices from tariffs should fade from around the middle of this year.

However, the goods news on the energy shock also means that the downside risks to growth have dissipated, meaning that most central banks are left with core inflation that is still too high relative to targets.

Some central banks have started raising rates, including the ECB, BoJ, and RBA, and the Fed seems likely to follow in the coming months.

The current average policy rate in the US is 3.6% and [policy rules](#) now suggest that it should be about 4.5% (perhaps 4%). This underscores the deep division among policymakers on the FOMC, where about half the committee is keeping rates on hold and the other half would prefer to raise rates at least once this year.

Fed Chair Warsh has not shown his hand, abruptly refraining from offering forward guidance to the market and indicating that the Fed will achieve price stability without spelling out how that will happen.

Warsh is speaking at the ECB's annual policy conference next week and there will be little point to his participation if he repeats his press conference strategy of not answering questions.

That said, his confirmation hearing and recent actions suggest that he probably wants the Fed to keep rates steady heading into the mid-term elections by persuading his colleagues to focus on lower trimmed mean inflation rather than the better-known core PCE measure and taking up their time with a number of new taskforces.

While [CCI's analysis](#) has shown that trimmed mean inflation does a good job at approximating the trend in inflation, the story is not as favourable as Warsh might hope.

That is, annualised trimmed mean inflation briefly touched the 2% target late last year, but picked up again and is currently running at about 2.75%, which is still unacceptably high, reinforcing the risk of higher interest rates.

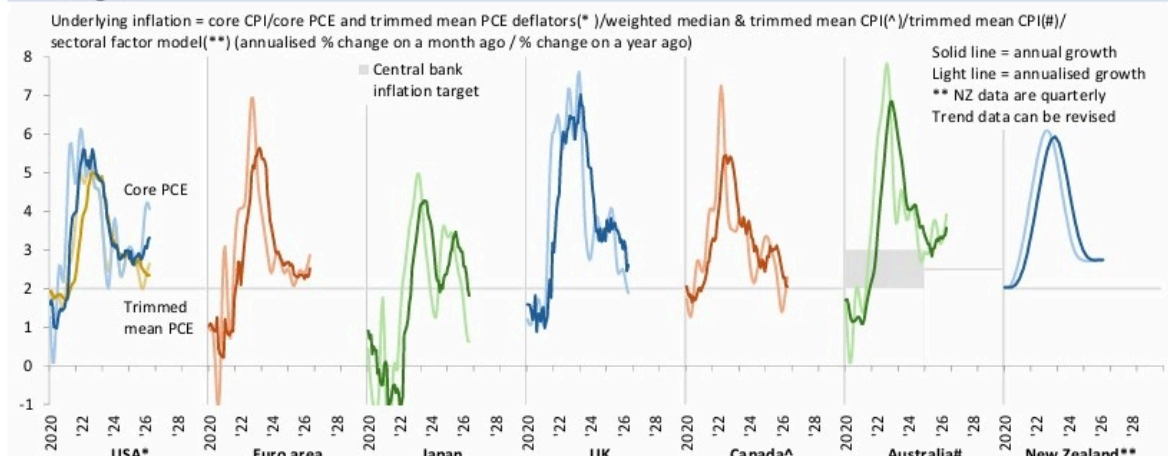


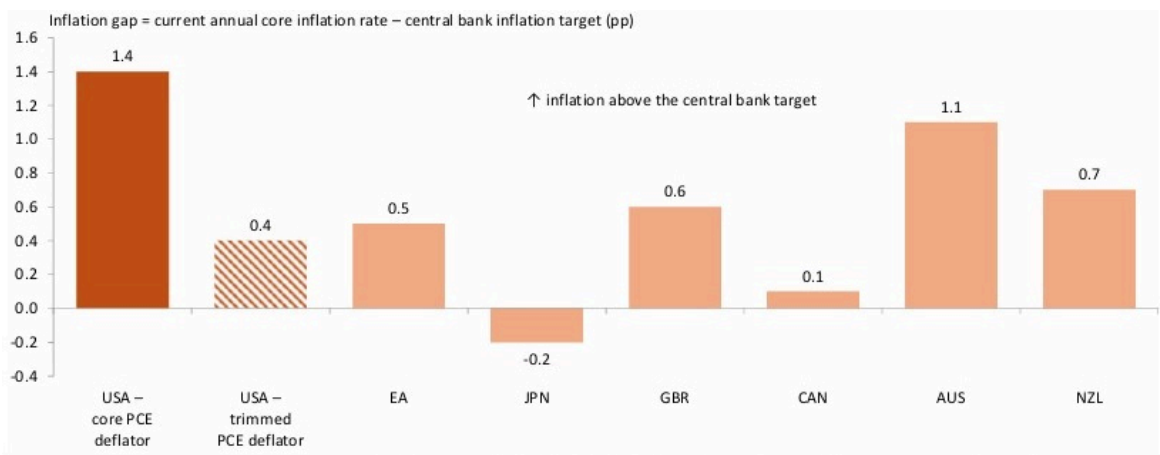
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Strategy commentary cont'd:

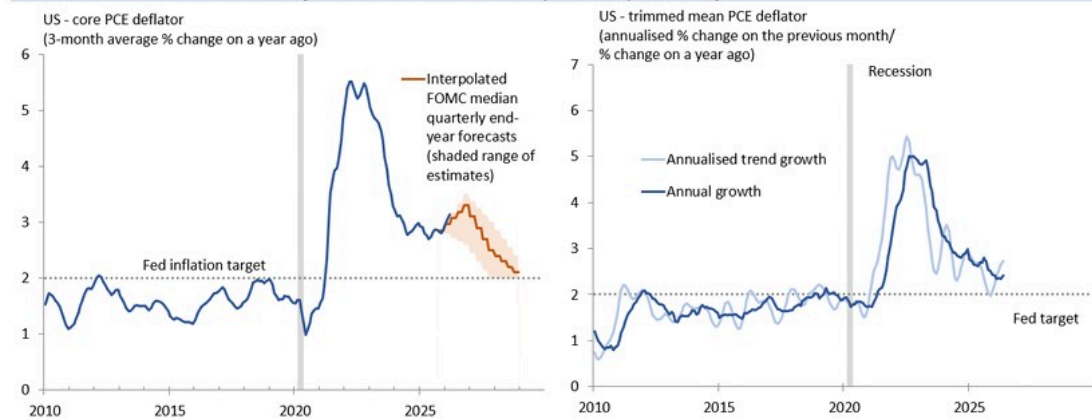
Figure 1: Core inflation has picked up again in most advanced economies and is still too high relative to central bank targets





Source: Australian Bureau of Statistics, Bank of Canada, Bank of England, Bank of Japan, Board of Governors of the Federal Reserve System, Bureau of Economic Analysis, Cabinet Office, European Central Bank, Eurostat, Reserve Bank of Australia, Reserve Bank of New Zealand, Statistics Canada, Statistics New Zealand, Coolabah Capital Investments

Figure 2: US inflation is tracking fractionally above the implied Fed forecast profile, while low trimmed mean inflation – which is favoured by Fed Chair Warsh – has picked up recently



Source: Board of Governors of the Federal Reserve System, Bureau of Economic Analysis, Federal Reserve Banks of Dallas and St Louis, Coolabah Capital Investments

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Asset weighted average rating



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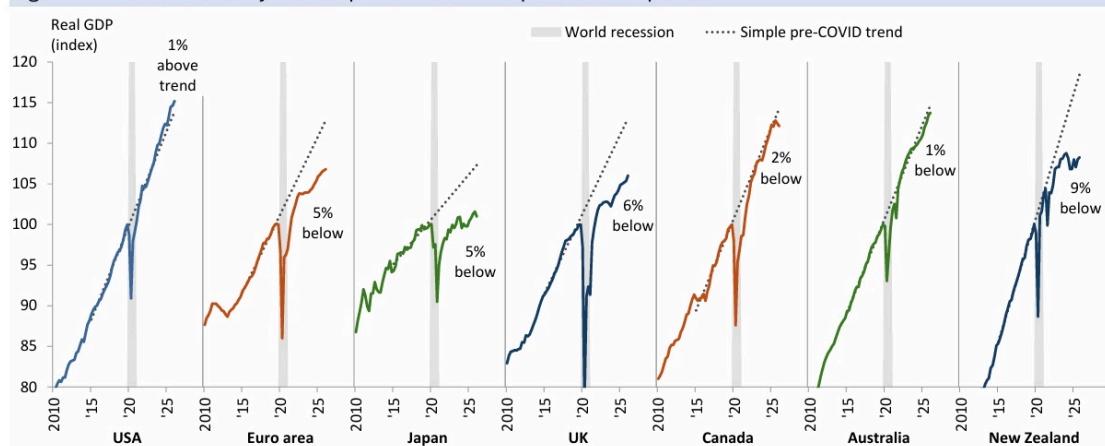
Strategy commentary cont'd: The tech sector's role in driving US growth

The tech sector is driving the US economy, accounting for the bulk of recent growth. Outside of tech, the economy is good, while the strength in tech investment is exaggerated by the rapid depreciation of software and capital equipment. Demand for tech is very narrowly based, and the productivity payoff is highly uneven. With the tech sector driving the speed limit for the US economy is about 2.5%, higher than the FOMC estimate of potential growth of a Potential growth is a key influence on the neutral policy rate, so this supports the view that the neutral rate is likely to be higher than the FOMC estimate of about 3%.

1. The US is the best performing economy in the post-COVID period.

The pandemic has had lasting effects on several advanced economies, with GDP well below pre-COVID levels in JPN, the UK, and NZ, something you might ordinarily expect in the wake of a financial crisis. In contrast, the USA and AUS have tracked closely to their simple pre-COVID trends, with the US narrowly outperforming.

Figure 1: The US economy has outperformed in the post-COVID period



Source: Australian Bureau of Statistics, Bureau of Economic Analysis, Cabinet Office, Eurostat, Office for National Statistics, Statistics Canada, Statistics New Zealand, Coolabah Capital Investments

2. Three-quarters of recent US economic growth has been driven by the tech sector.

The role of tech in driving the US economy can be approximated by estimating the contribution to growth from capital stock and technological progress, where tech covers IT equipment, software and research and development. Technological progress is proxied by multifactor productivity.

On this basis, the tech sector has accounted for 75% of recent US economic growth. This is basically the same contribution that was made during the dot-com bubble of the late 1990s. Overall economic growth was much slower during the 1990s because the labour market was also booming.

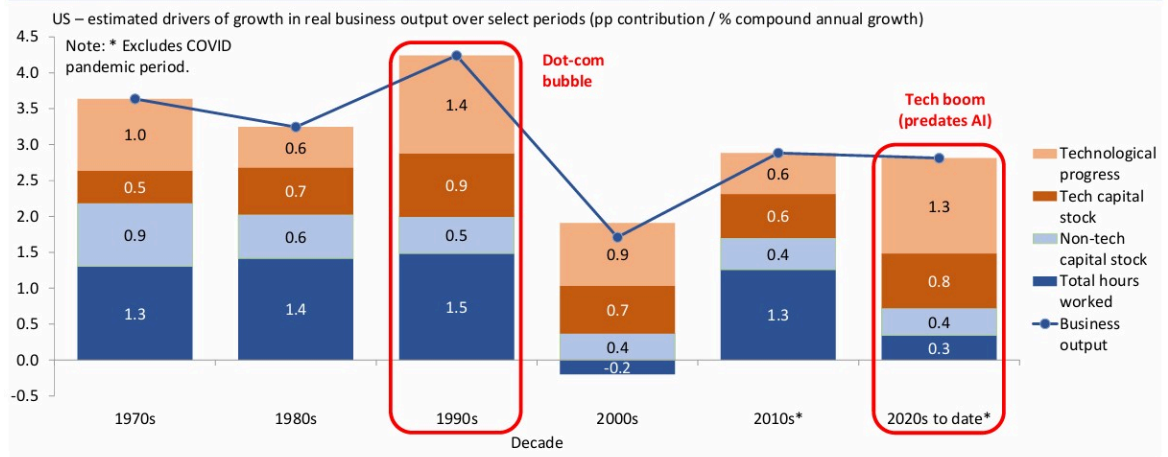


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Strategy commentary cont'd:

Figure 2: 75% of recent US economic growth has been driven by the tech sector

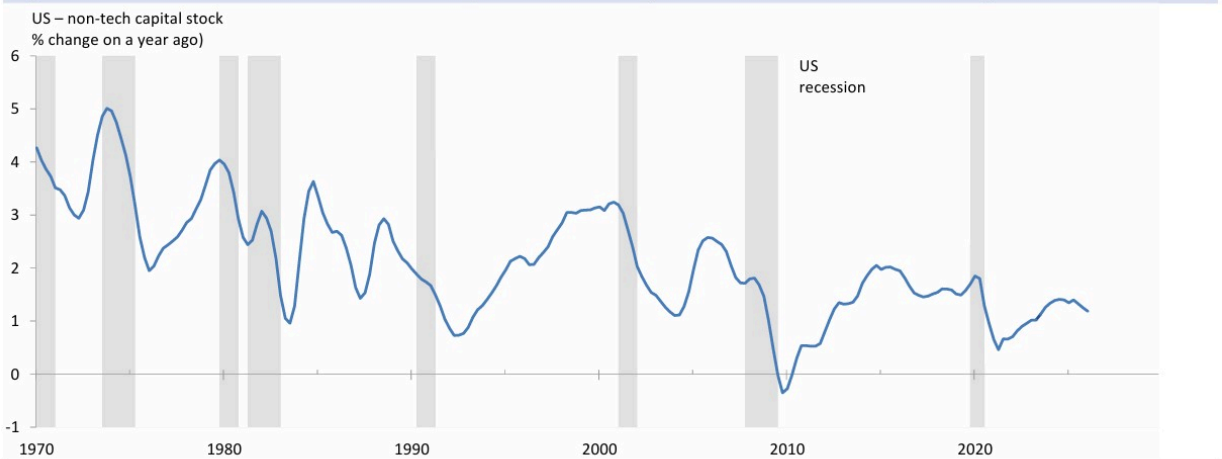


Source: Bureau of Economic Analysis, Federal Reserve Bank of San Francisco, Coolabah Capital Investments

3. Outside the tech sector, the news is not as good.

Outside the tech sector, the economy is not doing that well. Annual growth in the non-tech capital stock is weak and has recently slowed. Growth at this rate is close to the low points reached after the recessions of the 1980s, 1990s, and 2000s.

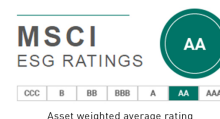
Figure 3: Growth in the non-tech sector capital stock is very weak and has slowed recently



Source: Bureau of Economic Analysis, Federal Reserve Bank of San Francisco, Coolabah Capital Investments

4. The tech sector's strength is exaggerated.

While the tech sector is driving US economic growth, the strength of investment is flattered by high rates of depreciation where rising investment has to account for the rapid wear and tear of existing tech assets. As a result, annual growth in the tech capital stock is also historically weak, although, unlike the non-tech sector, growth has accelerated recently to 6 to 8%.

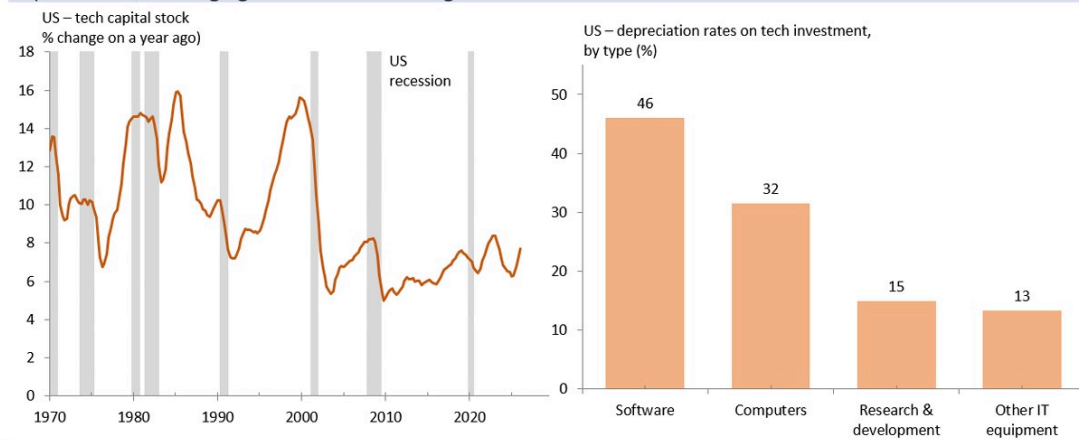


COOLABAH CAPITAL INVESTMENTS
THE INTELLECTUAL EDGE: MAKING EVERY BASIS POINT COUNT

Fund: Coolabah Floating-Rate High Yield Fund - Institutional
Return/Risk: 9.91% pa gross/9.04% pa net (1.38% p

Strategy commentary cont'd:

Figure 4: Growth in the tech capital stock is also historically weak because much investment represents depreciation, although growth is accelerating

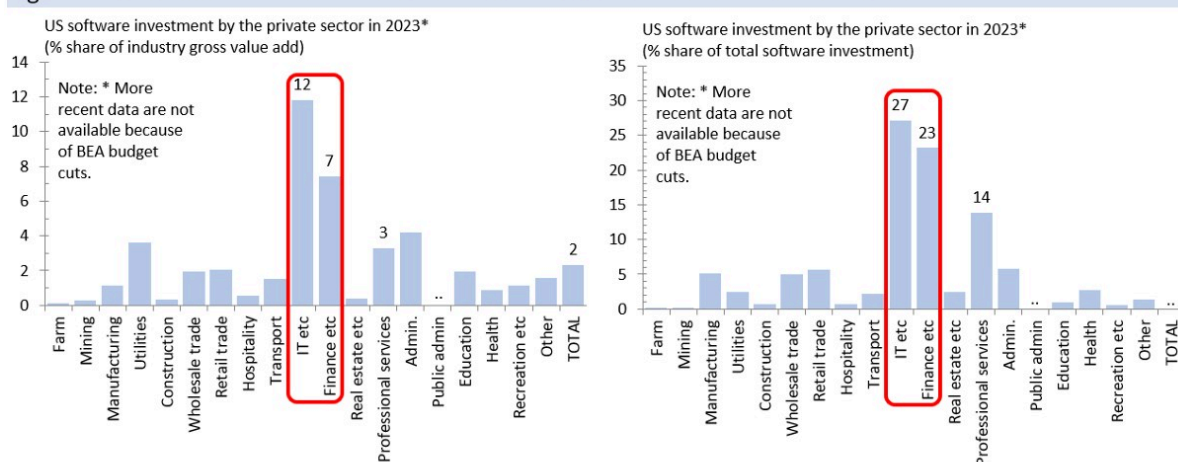


Source: Bureau of Economic Analysis, Federal Reserve Bank of San Francisco, Coolabah Capital Investments

5. The demand for tech in the US is narrowly based and is dominated by the IT and finance sectors.

The demand for software, which drives tech investment, is narrowly based on the US. Half of all spending on software is accounted for by the IT and finance sectors, with professional services bringing the total share to almost two-thirds.

Figure 5: The IT and finance sectors account for the bulk of demand for tech in the US

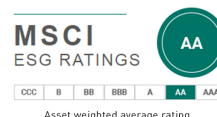


Source: Bureau of Economic Analysis, Coolabah Capital Investments

6. Tech investment has a very uneven payoff on productivity.

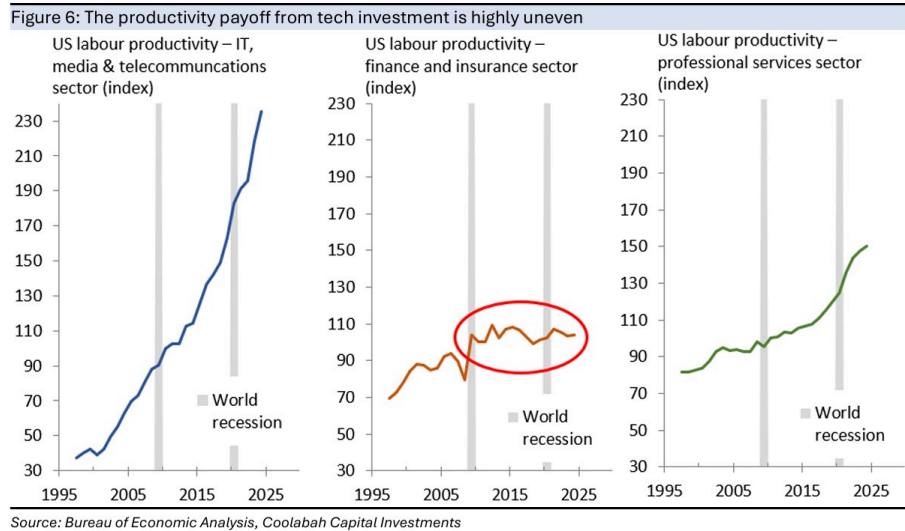
Among the three sectors accounting for the bulk of tech investment, the positive payoff in terms of productivity is clear for the IT and professional services sectors. However, the finance sector – which is dominated by banks and insurers – has seen productivity stagnate since the global financial crisis.

Signatory of:



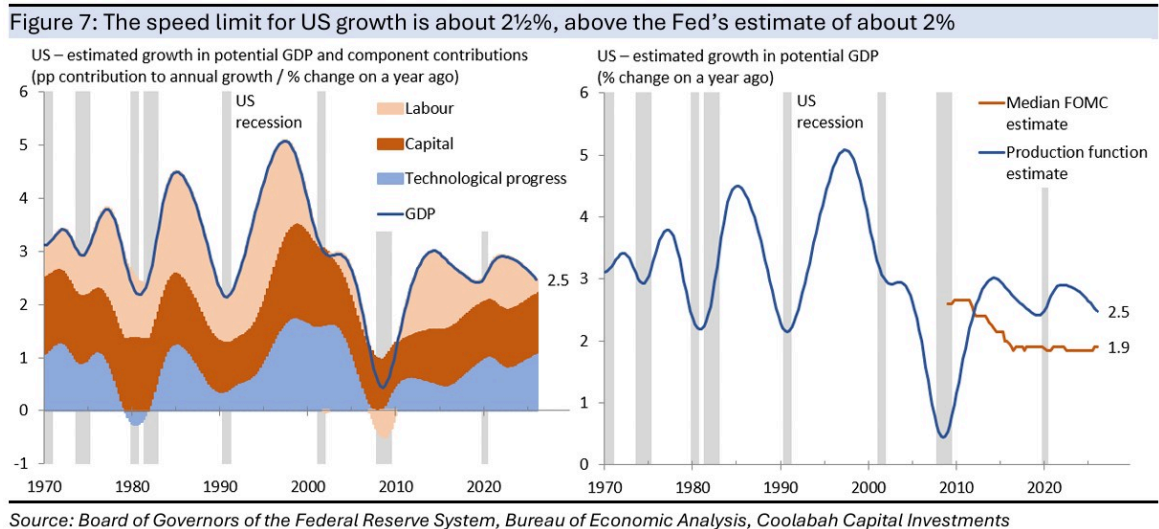
COOLABAH CAPITAL INVESTMENTS
THE INTELLECTUAL EDGE: MAKING EVERY BASIS POINT COUNT

Fund: Coolabah Floating-Rate High Yield Fund - Institutional
Return/Risk: 9.91% pa gross/9.04% pa net (1.38% p.a. net)



7. The speed limit for US growth looks higher than thought by the Fed.

With the tech sector driving growth, we estimated that the speed limit for the US economy is 2.5%, based on a production function approach. This growth rate for potential output is higher than the roughly 2% median of FOMC estimates. It has been higher than the Fed's calculation for about the past ten years.



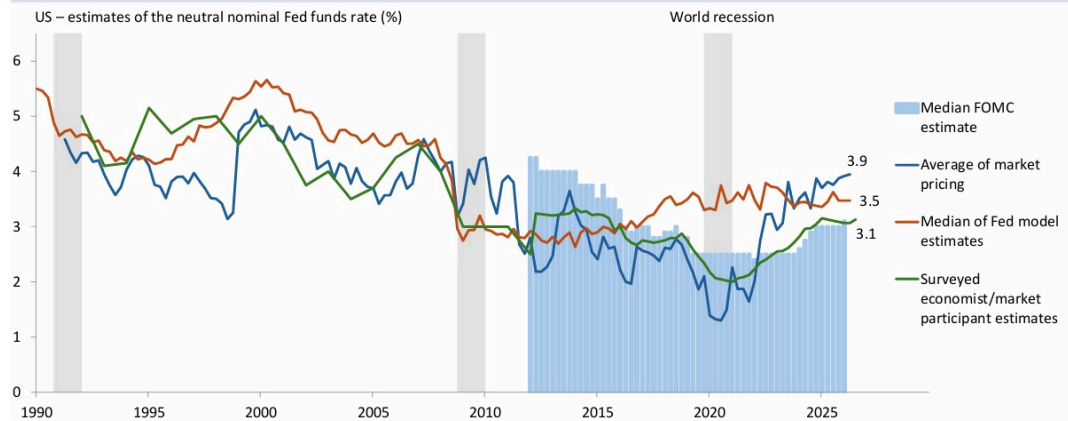
8. Higher potential growth supports the view that the neutral funds rate is higher than the FOMC estimate about 3%.

Potential growth is an important influence on the neutral policy rate. With the estimated 2.5% speed limit for US exceeding the FOMC's 2% calculation, this points to the neutral funds rate being above the median FOMC estimate about 3%, where Fed staff models put it at around 3.5% and average market pricing is about 4%.



Strategy commentary cont'd:

Figure 8: Faster growth in potential output supports the view that the neutral rate is higher than the Fed's estimate of about 3%



Source: Bloomberg, Board of Governors of the Federal Reserve, FRBs of New York, Philadelphia and Richmond, RBA, Coolabah Capital Investments

Negative gearing and house prices, plus a case study of the 1980s

The government is limiting negative gearing for investment properties to new homes from July next year, ret cost-base indexation for the taxation of capital gains, and imposing a minimum tax rate of 30% for inflation-indexe

The government does not think these measures will raise much revenue or have much of an economic effect. I negatively-gearred investor loans for existing properties account for an estimated 20% of all new home loans, s house prices – which had broadly stalled prior to the announced changes – could fall by 4-9% and credit grow slow from 7.5% to about 4.5%. Policy rules point to tighter monetary policy, but tax changes could result in a lo in the cash rate.

The only comparable tax changes where in the mid 1980s, when negative gearing was all but scrapped and cap were taxed for the first time, with the changes to negative gearing reversed under political pressure after only tv House prices fell in real terms, while real rents rose, real credit growth slowed sharply and new home loans However, many of these trends commenced prior to the tax changes when the RBA was aggressively raising rates.

Major changes to the taxation of the housing market.

The government has legislated two [major tax changes](#) that will significantly affect the housing market, wh announced in the May Budget and take effect in July 2027.

1. Significant limits to negative gearing for investment properties.

Negative gearing – which allows interest payments to be deducted from total taxable income – will be l investments in new homes. Existing investments will be exempt from these changes, while interest payr existing homes purchased between last month and July 2027 can only be deducted from income from r properties (albeit where there is a carry-forward of losses).

2. A return to inflation indexation of the capital gains tax base and the imposition of a 30% minimum ta: capital gains.

Capital gains – net of any current losses or past capital losses that have been carried forward – are current under a concessional 50% discount and added to total taxable income. The 50% discount will be replace cost-based indexation of capital gains, which is a return to pre-1999 arrangements. A minimum tax rate of 30 imposed on inflation-adjusted capital gains.

Strategy commentary cont'd: The government thinks the changes won't raise much revenue and wo much impact on the economy.

The government does not expect that the two changes will raise much revenue, with the main budget saving con planned reforms to the National Disability Insurance, which are recycled into more spending on hospitals, def income tax cut, health and other expenditure.

Instead, the treasurer **hopes** that the budget will "encourag[e] investment in new housing supply" and "[provide] for first home buyers". History suggests that these worthy aims will probably not be realised. No governr succeeded with either goal because they are unwilling to pay off the states to reform the supply of housing to c catch up with demand, while repeatedly turning to subsidies to first home-buyers that end up capitalised in high prices.

In terms of the economic impact, Treasury's modelling **claims** the tax changes will:

- Reverse the decline in the home ownership rate for owner-occupiers over the past 10 years by boosting the of owner-occupiers by 75,000 over the next ten years;
- Temporarily reduce house price growth by about 2pp over a couple of years, which will have a "small [impact on housing supply"; and
- Raise rents by about \$2 per week, which is a forecast rounding error compared with the median weekly rent about \$670 per week.

Figure 1: Tax changes raise hardly any revenue, while large forecast savings from reforming the NDIS will b used to pay for increased spending on hospitals, defence, an income tax cut, health and other expenditure

		'25-26(f)	'26-27(f)	'27-28(f)	'28-29(f)	29-30 (f)
Major policy changes						
- NDIS reforms	\$b	0	1	7	12	16
- taxing trusts	\$b	..	0	0	0	4
- negative gearing/capital gains tax	\$b	..	0	0	1	2
Major new spending/tax changes						
- hospitals	\$b	..	3	4	5	6
- defence	\$b	0	2	3	1	1
- income tax cut	\$b	..	0	0	-3	-3
- pharmaceutical benefits scheme	\$b	0	1	1	1	1
- temporary reduction in fuel excise etc	\$b	-3	0	..	..	..

Note: As at the May Budget. Rounded to the nearest billion dollars.

Source: Department of the Treasury, Coolabah Capital Investments

The tax changes affect a material share of the housing market.

While not expected to raise much revenue, the new policies will affect a material share of the housing marl private rentals account for about one-quarter of the stock of homes.

- Private rental properties – which encompass the homes affected by the tax changes – account for 24% of number of homes in Australia, including vacant properties.
- Home ownership has declined, but still dominates the housing market, accounting for 66% of homes (this the 9% of homes that are empty).
- Public rental properties account for 3% of homes, although this greatly understates the role of governme housing market because about half of all renting households receive Commonwealth rent assistance.

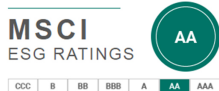
- The remainder of 7% of homes includes hotels, aged care, hospitals, etc., as well as homes where detail available.

Signatory of:



Principles for Responsible Investment







COOLABAH CAPITAL INVESTMENTS

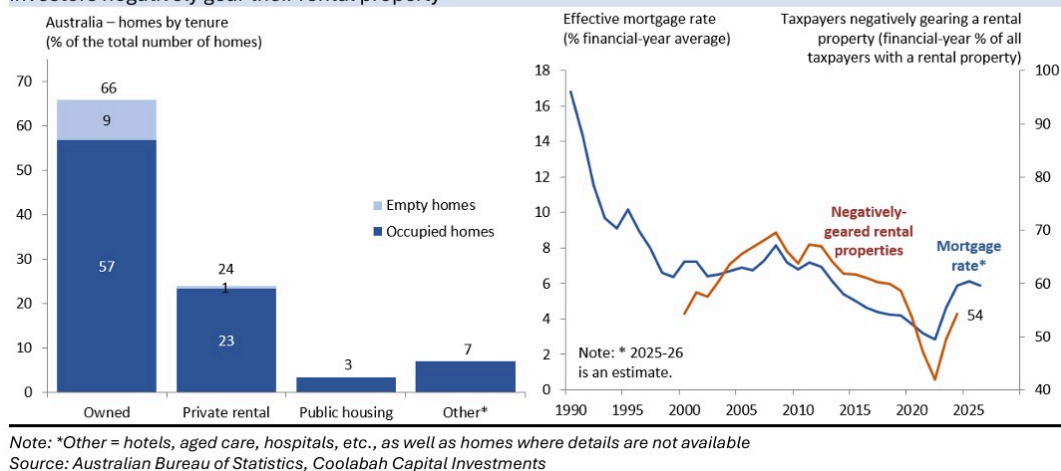
THE INTELLECTUAL EDGE: MAKING EVERY BASIS POINT COUNT

Fund: **Coolabah Floating-Rate High Yield Fund - Institutional**

Return/Risk: **9.91% pa gross/9.04% pa net (1.38% p**

Strategy commentary cont'd: In the private rental market, more than half of investment properties are negatively geared. The split between taxpayers with a rental property who are negatively geared and those who are either positively geared was 54%/46% in 2023-24, based on Tax Office data. More recently, the split has probably moved to about 60%/40% given the share of negatively-geared properties is largely driven by the level of mortgage rates.

Figure 2: Private rental properties account for about one-quarter of the housing stock and just over half of investors negatively gear their rental property



Investors do buy new homes, which can still be negatively geared, but have favoured existing homes over recent years. The split of investor loans in dollar terms between new and existing homes is currently 18% new / 82% existing. This means that new investor loans for existing properties account for one-third of all new owner-occupier and investor loans. On the strong assumption that 60% of investor loans for existing homes are negatively geared, this would account for about 50% of new investor loans, or around 20% of all new home loans.

Figure 3: Existing homes make up about 80% of new investor home loans, or one-third of all new home loans



The tax changes could reduce house prices by 4-9% over the next couple of years.

Home prices – which have been at an extreme for some time as a multiple of household income – have recently fallen to the national level as the RBA has raised rates, taking back all of last year's rate cuts.

The government's new policies are likely to weigh on prices, although estimating the economic impact of the tax is very difficult. This is because macro models do not adequately incorporate taxes and the only comparable change in the tax treatment of the housing occurred over forty years ago.



COOLABAH CAPITAL INVESTMENTS
THE INTELLECTUAL EDGE: MAKING EVERY BASIS POINT COUNT

Fund: Coolabah Floating-Rate High Yield Fund - Institutional
Return/Risk: 9.91% pa gross/9.04% pa net (1.38% p

Strategy commentary cont'd: One approach is to broadly equate the tax change to an increase in mortgage rates taking a leaf from research by Trent Saunders at CBA. The estimated increase in the mortgage rate can be combined with results from the RBA's Saunders-Tulip model of the housing market to back out a potential impact on house prices.

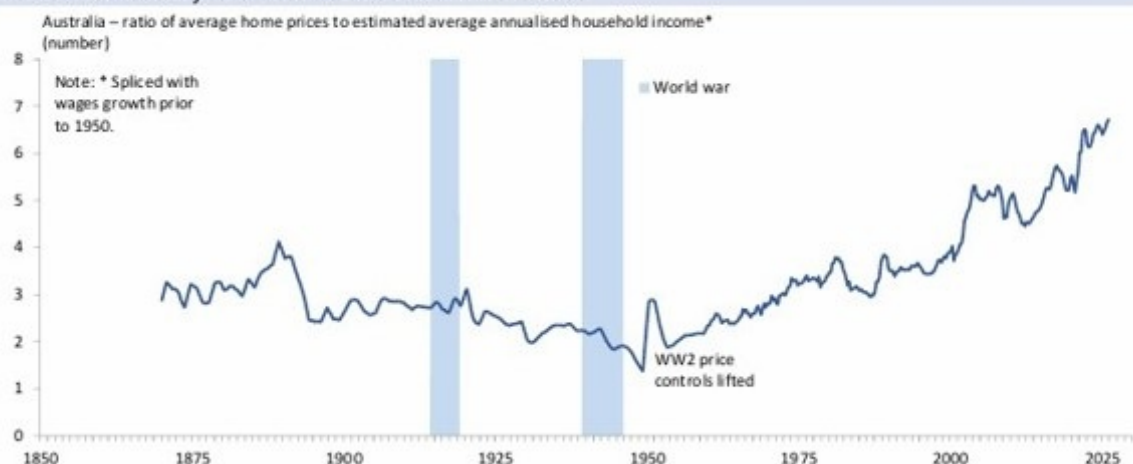
On this basis, the tax changes equate to an increase in investor mortgage rates for negatively-gearred properties 2-2.75%, depending on the tax bracket of the investor. This is calculated by backing out the increase in the mortgage rate required to raise loan repayments by the same amount as the lost tax concession on Cotality-derived estimates of the average national property worth \$1 million with a 3.6% rental rate and relying on the APRA estimate of an average mortgage rate of 6.4% (the latter assumes that the latest rate rise was fully passed on to new borrowers).

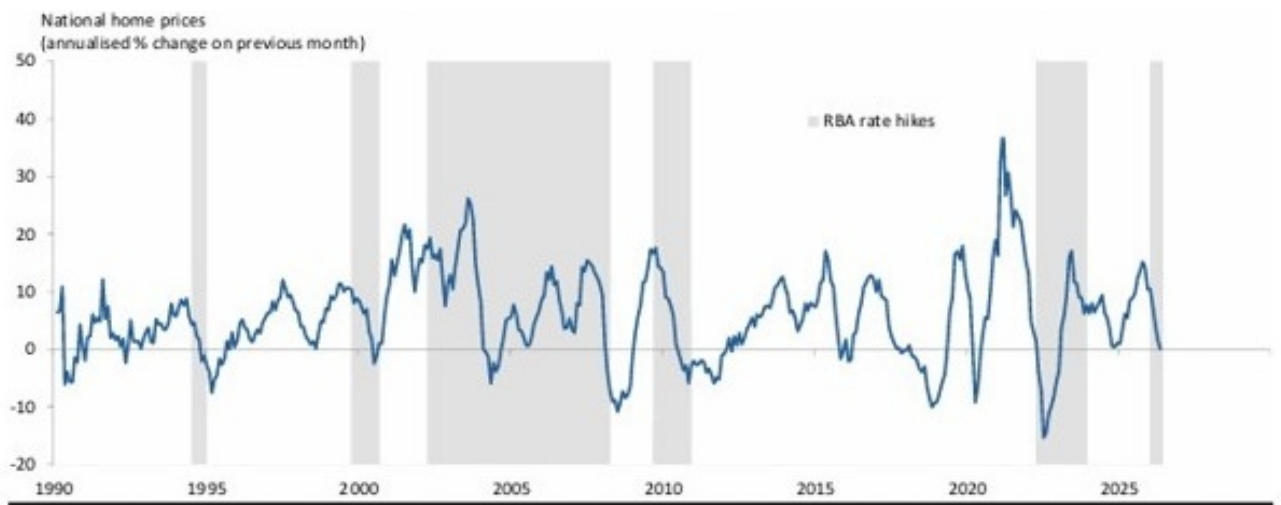
Given that negatively-gearred investors account for about 20% of new home loans, this broadly equates to a 0.5% increase in the mortgage rate on all new home loans of about 50bps.

The Saunders-Tulip model suggests a rate rise of this magnitude would lower real house prices by about 3-5% per year and by a cumulative 4-9% over two years, with the range reflecting uncertainty over whether the changes are permanent.

As a crosscheck, a second much simpler and mechanical approach relies on balance sheet data. The stock of residential mortgages is \$2.6 trillion and estimated negatively-gearred new investor loans for existing homes are annualised \$80 billion in Q1. Mortgages are currently growing at an annual rate of 7.5%, so the tax changes could cut just over 3pp off growth by ending the demand for these loans, which could be interpreted as an upper bound impact on growth in house prices.

Figure 4: Ahead of the tax changes, home prices – which have been an extremely high multiple of household income over recent years – have stalled on RBA rate rises





COOLABAH CAPITAL INVESTMENTS
THE INTELLECTUAL EDGE. MAKING EVERY BASIS POINT COUNT



Fund: Coolabah Floating-Rate High Yield Fund - Institutional
Return/Risk: 9.91% pa gross / 9.04% pa net (1.38% p
MSCI ESG RATINGS
AA
Asset weighted average rating

Strategy commentary cont'd: House price declines could see a lower peak in the cash rate.

Policy rules currently point to a peak in the cash rate of about 4.75-5% given high inflation and unemployment t below the estimated NAIRU. A material decline in house prices could see a lower peak in the cash rate, although be stressed that the circa 50bp estimate of the increase in the overall mortgage rate does not equate to a c increase of 50bps. This is because other channels of the transmission mechanism of monetary policy are not af the tax changes.

In addition, there is the possibility that banks partly counter the tax changes by lowering mortgage rates fc occupier loans and investor loans for new homes to make up for lost revenue. APRA publishes the best data on i rates actually paid by borrowers with a lag, although there are unconfirmed reports that banks have recently owner-occupier rates.

Haven't we seen this movie before? What happened in the 1980s?

The only other time that the taxation of housing and capital gains was changed in such a significant way was That was when recommendations made in the Hawke-Keating government's White Paper on tax reform were with the notable exception of a GST, which was not introduced until 2000.

1. Negative gearing on investment properties was all but scrapped.

Negative gearing was heavily curtailed for both new and existing homes by not allowing interest paymen deducted from total taxable income and restricting deductions to income from residential properties (albe there was a carry-forward of losses).

2. Capital gains on assets bought after 1985 were taxed for the first time.

Assets bought before 1985 remained exempt from tax, but inflation-adjusted capital gains on assets bou 1985 were taxed when the assets were sold. Capital losses could not be deducted from taxable income. they could be deducted from any other current or future capital gains. This arrangement prevailed un replaced in late 1999 by the above-mentioned 50% discount on capital gains tax liabilities.

The economic impact of the tax changes is still debated today, with most focus on higher surveyed rents, parti Sydney and Perth. These rent rises, or more perhaps effective political campaigning by the housing industry, ca government to completely the reverse changes to negative gearing in 1987, although the new capital gains retained.

While the rental market share of the housing stock in the 1980s is similar in size to today, the impact of the tax ch hard to disentangle from the impact of higher interest rates, which look to have been the driving force behind th

housing market on many metrics.

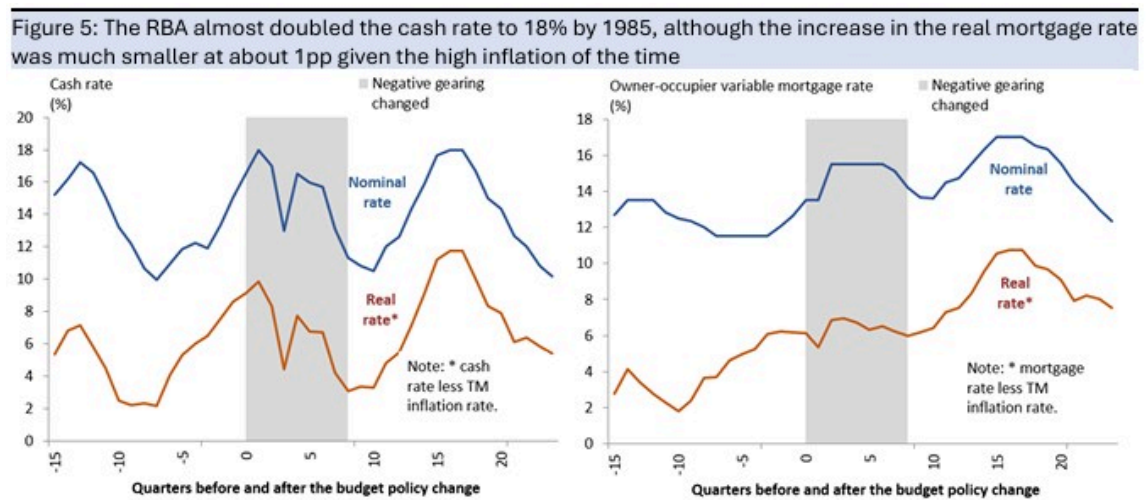
- The RBA raised the cash rate from 10% to 18% over 1983-85 (or 2% to 10% in real terms). However, the mortgage rate – where a ceiling was in place until 1986 – rose by much less, up from 12% to 16%, and the increase in mortgage rate was only 1pp given high inflation at the time.



COOLABAH CAPITAL INVESTMENTS
THE INTELLECTUAL EDGE: MAKING EVERY BASIS POINT COUNT

Fund: Coolabah Floating-Rate High Yield Fund - Institutional
Return/Risk: 9.91% pa gross/9.04% pa net (1.38% p

Strategy commentary cont'd:

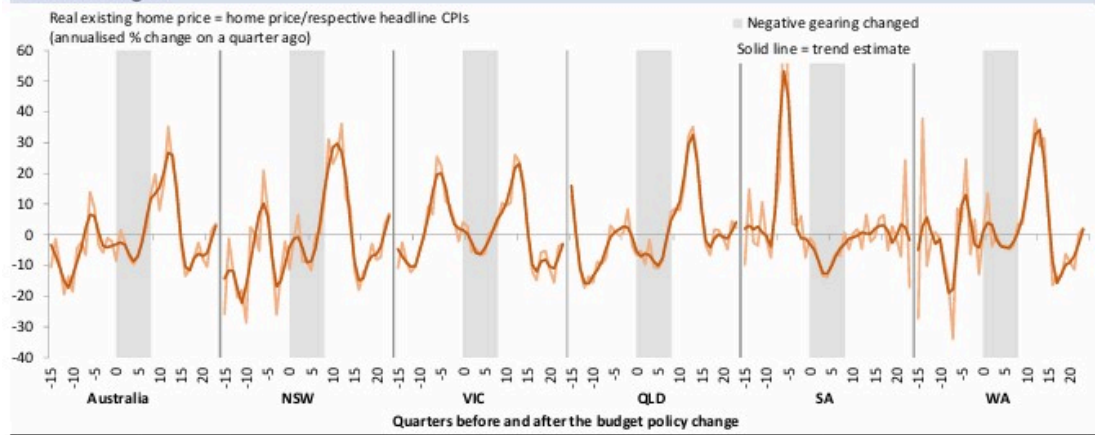


Source: Australian Bureau of Statistics, Dungey and Hayward (2000), Reserve Bank of Australia. Coolabah Capital Investments

With this key caveat in mind:

- **House prices fell in real terms across the country, although they were weakening prior to the tax changes.**
National house prices declined by about 4% in real terms over the period, with similar declines across the country. Prices were weaker prior to the tax changes, likely reflecting the impact of higher interest rates.

Figure 6: House prices fell in real terms across the country, but higher interest rates saw prices weaken before the tax changes



Source: Australian Bureau of Statistics, BIS Shrapnel, Cotality, Real Estate Institute of Australia, Coolabah Capital Investments

- Rents rose in real terms, although it is not clear whether tax changes were responsible.

Nationally, rents rose by about 7% in real terms, with some lag, given that the CPI measures the stock of rental properties, and not every lease is regularly updated. The increase was not uniform, rather driven by Sydney and Perth, where questions about whether the tax changes were behind the increases. Vacancy rates were extremely low in both cities, and were extremely low in Sydney well before the tax changes.

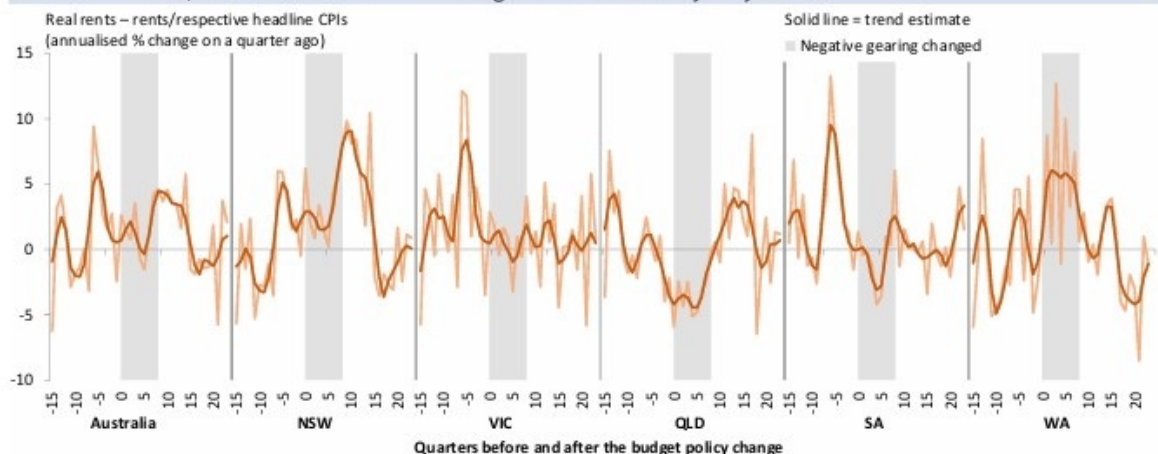


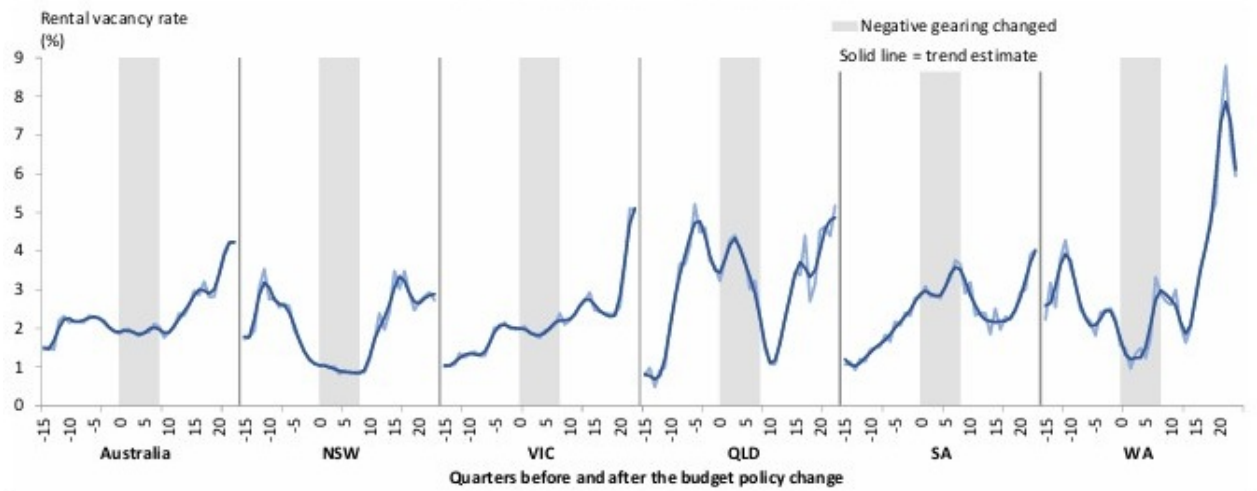
COOLABAH CAPITAL INVESTMENTS
THE INTELLECTUAL EDGE
PRINCIPLES FOR EVERY BASIS POINT COUNT

Fund: Coolabah Floating-Rate High Yield Fund - Institutional
Return/Risk: 9.91% pa gross/9.04% pa net (1.38% p
MSCI
Asset weighted average rating

Strategy commentary cont'd:

Figure 7: Rents rose by about 7% in real terms, driven by Sydney and Perth, where vacancy rates were extremely low in both cities, and well before the tax changes in the case of Sydney





Source: Australian Bureau of Statistics, Real Estate Institute of Australia, Coolabah Capital Investments

- Credit growth slowed sharply in real terms, cooling before the tax changes, while much the same for owner-occupier and investor home loans suggests interest rates were more the driver.

Annualised growth in stock of residential mortgages halved from 18% to 9%, with the slowdown in real terms from 12% to -1% commencing well before the announcement of the tax changes. The value of new investor and owner-occupier loans both fell by about 30%. The fact that owner-occupier loans – which were not affected by changes – fell at the same rate suggests that higher interest rates had a greater role than tax policy.

Signatory of:



MSCI
ESG RATINGS



Asset weighted average rating

CCC B BB BBB A AA AAA



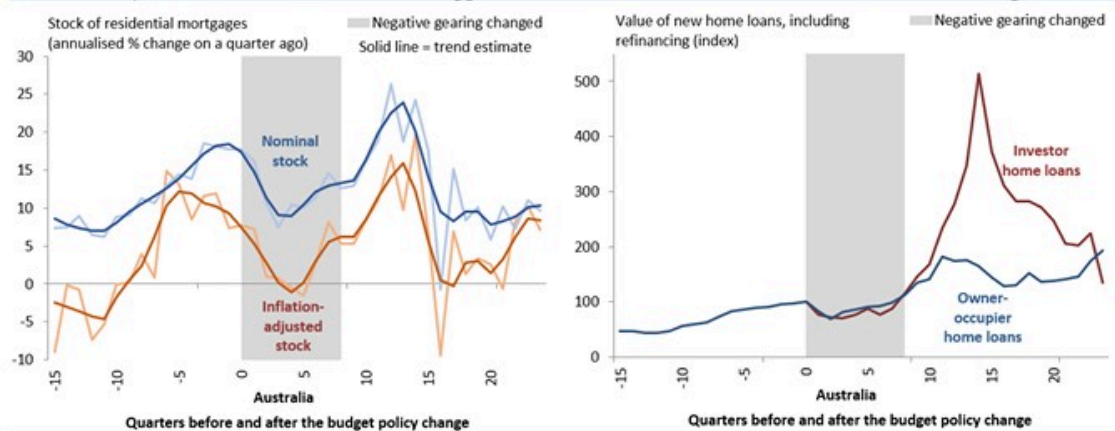
COOLABAH CAPITAL INVESTMENTS
THE INTELLECTUAL EDGE: MAKING EVERY BASIS POINT COUNT

Fund: Coolabah Floating-Rate High Yield Fund - Institutional

Return/Risk: 9.91% pa gross/9.04% pa net (1.38% p

Strategy commentary cont'd:

Figure 8: Credit growth was slowing well before the tax changes in real terms, while much the same fall in owner-occupier and investor home loans suggests interest rates were more the driver than tax changes



Source: Australian Bureau of Statistics, Coolabah Capital Investments



COOLABAH CAPITAL INVESTMENTS
THE INTELLECTUAL EDGE: MAKING EVERY BASIS POINT COUNT

Fund: **Coolabah Floating-Rate High Yield Fund - Institutional**
Return/Risk: **9.91% pa gross/9.04% pa net (1.38% p**



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Appendix: chart data (hover-only source)

Hover Data Appendix — chart: [htmlwidget-60925875be08c43bf15c](#)

Series	Hover text (raw)
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(unnamed)	5.18%
(unnamed)	4.07%
(unnamed)	4.00%
(unnamed)	2.90%
(unnamed)	Floating-Rate I High Yield Fund (Institutional)
(unnamed)	AusBond Credit FRN Index
(unnamed)	AusBond Bank Bill Index
(unnamed)	RBA Overnight Cash Rate
(unnamed)	AusBond Composite I Bond Index

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Series	Hover text (raw)
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(unnamed)	4.54%
(unnamed)	4.35%
(unnamed)	4.33%
(unnamed)	Floating-Rate I High Yield Fund (Institutional)
(unnamed)	AusBond Credit I FRN Yield
(unnamed)	AusBond Treasury I Index Yield
(unnamed)	RBA Overnight Cash Rate
(unnamed)	AusBond Bank Bill I Index Yield

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